problems like excessive deficits or a tendency to inflate, rather than by obtaining absolution for sins from a higher power.

DOLLARIZATION AND FEAR PREMIUMS

To see whether this solution is robust, consider another explanation for dollarization of liabilities. Typically, a country's debt isn't sold only to foreigners but also to locals. This is natural, especially given that locals are more likely than foreigners to believe they can enforce repayment. The marginal domestic investor will care about the pattern of returns the debt offers. Finance theory indicates that he or she will be prepared to pay more for (accept lower returns from) a security that is expected to retain its value or go up in bad economic times relative to a security that is expected to plummet in value. The former security provides more insurance.

What do citizens in these investing countries want insurance against? One major problem in an emerging market is that it's prone to adverse economic shocks that cause foreign lenders to stop lending, forcing a real currency depreciation as well as high inflation in the country. Economic activity tends to collapse, causing immense hardship for the people. Consider what happens to the securities at this time. As long as the country doesn't default, dollar-denominated debt goes up in value because of the real depreciation, while debt denominated in local currency falls because of inflation and depreciation. Domestic investors who wanted protection against such crises caused by sudden stops would prefer dollar-denominated debt because it provides valuable insurance, and thus be willing to accept a lower rate of interest on it. (Of course, such debt is valuable only under the reasonable belief that the government wouldn't default on its debt or that, even if it defaulted, it would repay in proportion to its outstanding obligations.)